Policy changes propagate automatically, but evaluation always occurs on the latest validated version. For tenants with dedicated PDPs, updates can be staged and deployed independently while still enforcing ACME's global governance layer.

13.5.9 Governance and safety

C³ follows a straightforward rule of precedence:

- Application policies take precedence over tenant policies when both apply to the same action.
- Tenant policies may restrict permissions but never broaden them beyond global constraints.

Cedar's *forbid-by-default* principle makes this easier to enforce. This ensures that a tenant cannot, either accidentally or deliberately, violate ACME's compliance obligations.

To ensure tenant flexibility remains secure, ACME offers a template library of common patterns: internal-only sharing, external sharing by domain, delegated access, or time-limited links. Tenants select and configure these templates instead of writing custom Cedar code. The templates generate valid Cedar policies within the tenant's namespace, maintaining both expressiveness and control.

13.5.10 Benefits of the layered model

This architecture clearly defines ACME's lines of responsibility.

- ACME-designed system policies govern their zero-trust security posture and platform automation.
- ACME product managers and engineers design policies that govern the platform.
- Tenants govern their own collaboration policies within guardrails established by the C^3 product team.